11. INCOME TAXES

The components of income taxes (benefit) are as follows:

	OCTOBER 31,		
	2001	2000	1999
Current:			
Federal	--	$(1,302,000)	$1,106,000
State	--	(135,000)	241,000
	--	(1,437,000)	1,347,000
Deferred:			
Federal	(53,000)	(302,000)	(35,000)
State	--	(36,000)	9,000
	--	(338,000)	(26,000)
Total income taxes (benefit)	$(53,000)	$(1,775,000)	$1,321,000

The components of deferred tax assets and liabilities consist of the following:

	OCTOBER 31,	
	2001	2000
Deferred tax assets:		
Accrued warranty	$ 113,000	$ 91,000
Property and equipment	51,000	63,000
State NOL carryover	551,000	124,000
Non-compete agreement	73,000	73,000
Inventory	786,000	379,000
Deferred finance income	434,000	118,000
Accrued vacation	38,000	17,000
Amt Credit	122,000	--
Federal NOL Carryover	2,632,000	--
Other	34,000	2,000
Total deferred tax assets	4,834,000	867,000
Less current deferred tax assets	--	(659,000)
Less deferred tax asset valuation allowance	(4,834,000)	--
Long-term deferred tax assets	$ --	$ 208,000

The Company has established a valuation allowance for the full amount of its net deferred tax assets since it has not determined that it is more likely than not that the net deferred tax asset is realizable, based upon the Company's recent earnings history.

The following summary reconciles differences from taxes at the federal statutory rate with the effective rate:

	OCTOBER 31,			
	2001		2000	
	AMOUNT	PERCENT	AMOUNT	PERCENT
Income taxes (benefits) at statutory rate	$(5,053,000)	34%	$(1,693,000)	34.0%
State income taxes, net of federal benefit	(517,000)	3.48%	(113,000)	2.3%
Increase in valuation allowance and other	$ 5,517,000	(33.09)%	31,000	-0.6%
Income taxes (benefits) at effective rates	$ (53,000)	4.39%	$(1,775,000)	35.7%

At October 31, 2001 the Company had a federal net operating loss carryforward of approximately $7,044,000 available to reduce future taxable income which expires . Under the provisions of the Internal Revenue Code, certain substantial changes in the Company's ownership may result in a limitation on the amount of the net operating loss carry forwards which can be used in future years.